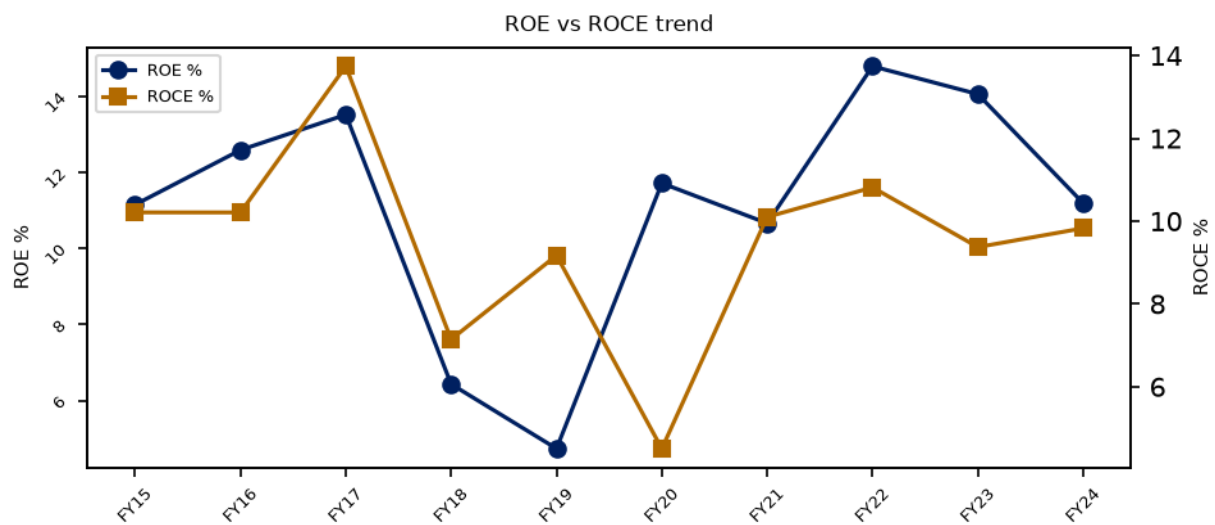
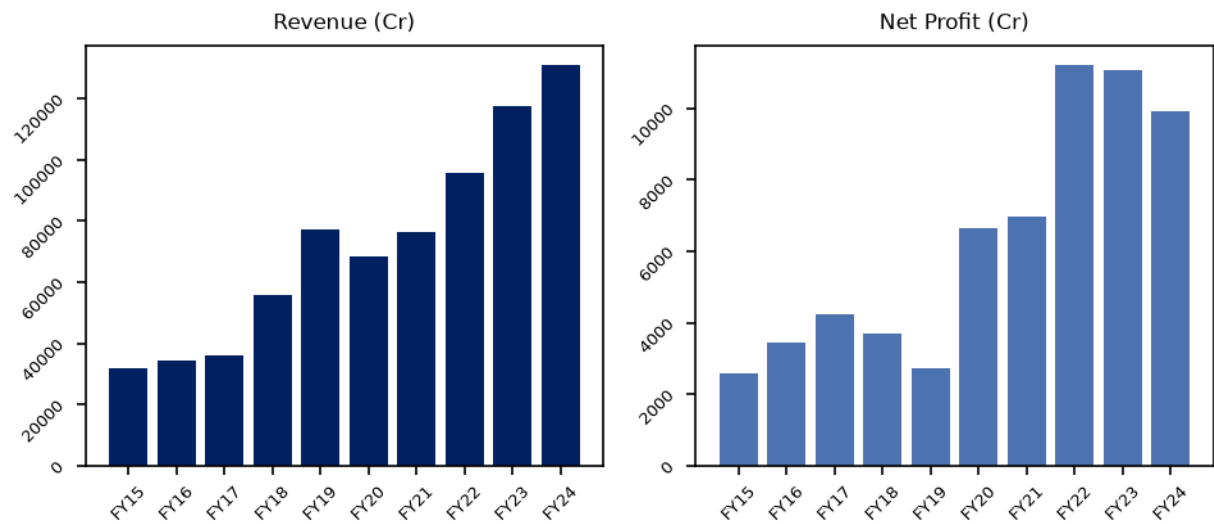
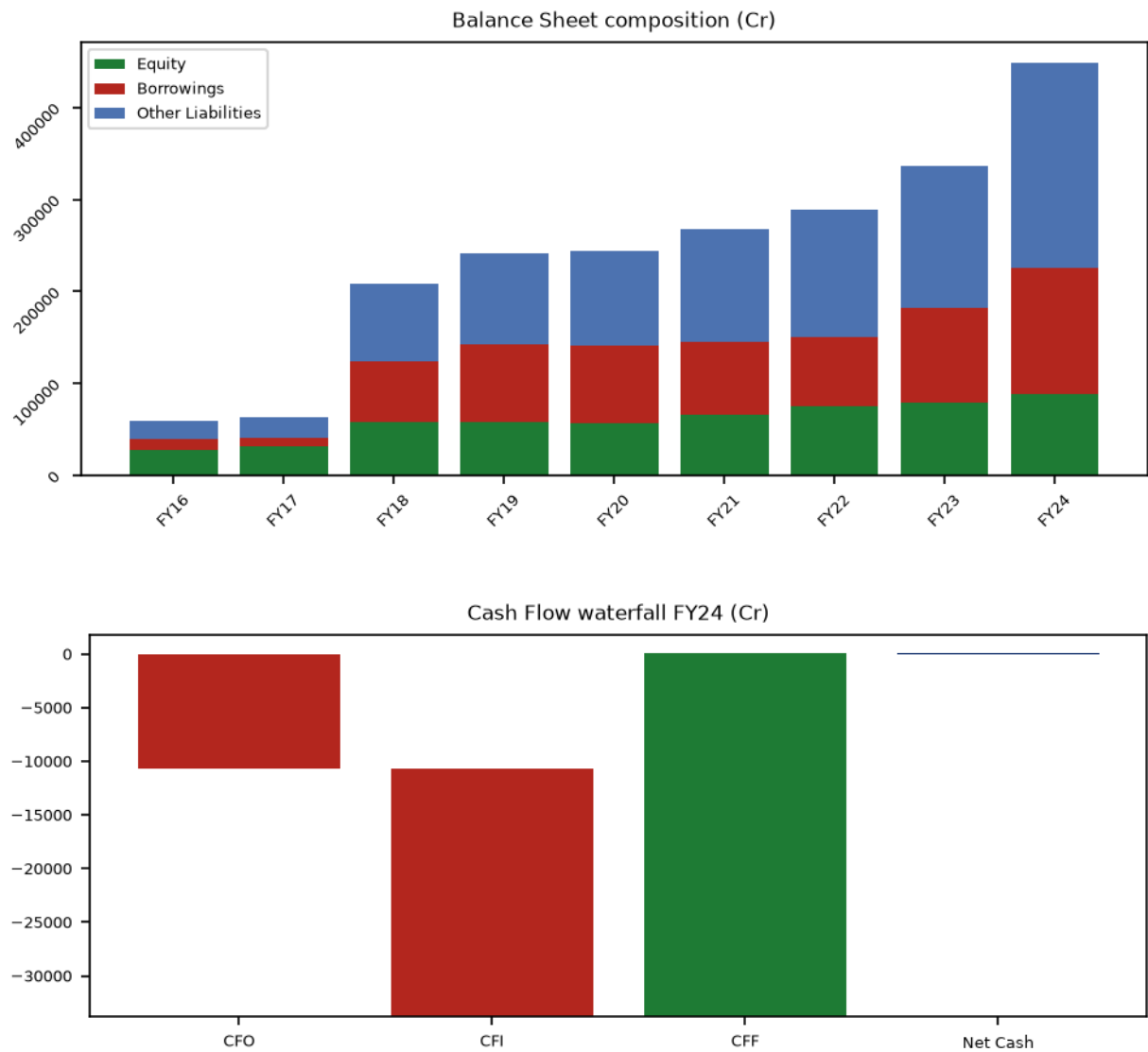


Grasim Industries Ltd (GRASIM) — Industrials / Diversified Industrials

11.2 ROE %	9.8 ROCE %	7.6 Net Margin %
1.5x D/E	11.2 Rev CAGR 5Y %	79.3 P/E



GRASIM — Balance Sheet & Cash Flow



Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Distress - Financing the Burn